No. 97-2000

FILED
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In the Supreme Court of the United States

OCTOBER TERM, 1997

AMERICAN MANUFACTURERS MUTUAL INSURANCE COMPANY, ET AL., PETITIONERS

v.

DELORES SCOTT SULLIVAN, ET AL., RESPONDENTS

On Writ of Certiorari to the United States Court of Appeals for the Third Circuit

JOINT APPENDIX

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PETITION FOR CERTIORARI FILED JUNE 11, 1998
CERTIORARI GRANTED SEPTEMBER 29, 1998

59 pp

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RELEVANT DOCKET ENTRIES NOT INCLUDED

The following opinions, decisions, judgments, and orders have been omitted in printing this joint appendix because they appear at the pages indicated in the appendix to the Petition for a Writ of Certiorari:

Memorandum Opinion and Order of the United States District Court for the Eastern District of Pennsylvania, dated January 24, 1996 . . . . . 41a

Memorandum Opinion and Order of the United States District Court for the Eastern District of Pennsylvania, dated November 7, 1996 . . . . . 62a

Order of the United States District Court for the Eastern District of Pennsylvania, dated December 13, 1996 . . . . . 82a

Decision and Judgment of the United States Court of Appeals for the Third Circuit, dated March 13, 1998 . . . . . 1a

RELEVANT DOCKET ENTRIES

January 12, 1995	Complaint filed.
April 10, 1995	Motion to dismiss complaint filed by American Manufacturers Mutual Insurance Company, Continental Casualty Company, USF&G Insurance Company, and Zurich American Insurance Company.
April 10, 1995	Motion to dismiss complaint filed by School District of Philadelphia.
July 28, 1995	Motion for partial summary judgment filed by plaintiffs.
January 24, 1996	Memorandum and order granting motion to dismiss filed by American Manufacturers Mutual Insurance Company, Insurance Company of North America, Continental Casualty Company, USF&G Insurance Company, and Zurich American Insurance Company, denying motion to dismiss filed by School District of Philadelphia, and denying plaintiffs' motion for partial summary judgment filed.
May 16, 1996	Motion for leave to amend complaint filed by plaintiffs.
May 21, 1996	Order granting plaintiffs' motion for leave to amend complaint and dismissing insurer defendants filed.
May 21, 1996	Amended complaint filed.

June 20, 1996	Motion to dismiss filed by Catherine Baker Knoll, Johnny J. Butler, Richard A. Himler, Linda Kaiser, and Ralph Chase (collectively, the "Commonwealth Officials").
November 7, 1996	Order granting Commonwealth Officials' motion to dismiss filed.
December 6, 1996	Motion for judgment filed by School District of Philadelphia.
December 13, 1996	Order granting School District of Philadelphia's motion for judgment filed.
March 13, 1998	Opinion and judgment by the U.S. Court of Appeals for the Third Circuit reversing and remanding to the district court for further proceedings entered.
September 29, 1998	Order of the Supreme Court of the United States granting certiorari filed.

IN THE UNITED STATES DISTRICT COURT FOR
THE EASTERN DISTRICT OF PENNSYLVANIA

CIVIL ACTION NO. 95-CV-201

DELORES SCOTT SULLIVAN, WILLIAM BATTLE,
ANTHONY CANCILA, CHARLES MATTHEWS,
CHRISTOPHER COSTELLO, LISA LEX,
AND SUSAN HANSEN
On Their Own Behalf and on Behalf of
All Similarly Situated Class Plaintiffs

and

PHILADELPHIA AREA PROJECT ON
OCCUPATIONAL SAFETY AND HEALTH

v.

ROBERT BARNETT, Secretary of Labor and
Industry for the Commonwealth of
Pennsylvania;

and

FRANK BEAL, Director of the Pennsylvania
Bureau of Workers Compensation

and

CONSTANCE B. FOSTER, Insurance Commissioner
For the Commonwealth of Pennsylvania;

and

CATHERINE BAKER KNOLL, Treasurer,
Commonwealth of Pennsylvania;

and

JOHN P. O'MALLEY, Director,
State Workers' Insurance Fund;

and

AMERICAN MANUFACTURERS MUTUAL INSURANCE COMPANY;

and

CIGNA CORPORATION;

and

CONTINENTAL CASUALTY COMPANY;

and

USF&G INSURANCE COMPANY;

and

ZURICH AMERICAN INSURANCE COMPANY;

and

SCHOOL DISTRICT OF PHILADELPHIA

INSURER DEFENDANTS' MOTION TO DISMISS COMPLAINT

[TEXT OF MOTION OMITTED IN PRINTING]

EXHIBIT A

EDITOR'S NOTE

THE FOLLOWING PAGES WERE POOR HARD COPY AT THE TIME OF FILMING. IF AND WHEN A BETTER COPY CAN BE OBTAINED, A NEW FICHE WILL BE ISSUED.

UTILIZATION REVIEW: INITIAL REQUEST

This Request filed by or on behalf of: ☐ Employee or ☐ Employer/Insurer

EMPLOYEE NAME

STREET ADDRESS

COUNTY CITY TOWN | STATE | ZIP CODE

EMPLOYER

STREET ADDRESS

CITY/TOWN | STATE | ZIP CODE

PROVIDER NAME

PROFESSIONAL DEGREE OR TITLE

STREET ADDRESS

CITY/TOWN | STATE | ZIP CODE

☐☐☐ - ☐☐ - ☐☐☐☐
SOCIAL SECURITY NUMBER

☐☐ - ☐☐ - ☐☐
DATE OF INJURY

INSURANCE CARRIER
(or adjusting company if self-insured)

STREET ADDRESS

CITY/TOWN | STATE | ZIP CODE

PROVIDER'S SPECIALTY/PRACTICE

TREATMENT/PROCEDURE TO BE REVIEWED

DATE(S) OF TREATMENT/PROCEDURE TO BE REVIEWED

TO THE BUREAU:

I hereby request that the Bureau of Workers' Compensation assign an authorized utilization review organization to review the reasonableness and necessity of proposed, current or past care of the above employee, for the following reason(s): (Please be as specific as possible.)

I hereby certify that a copy of this request has been served on all parties concerned on _____ (DATE) at the address shown above.

SIGNATURE OF REQUESTING PARTY OR REPRESENTATIVE

STREET ADDRESS

CITY/TOWN | STATE | ZIP CODE

( ) TELEPHONE NUMBER

[LOGO OMITTED IN PRINTING]

COMMONWEALTH OF PENNSYLVANIA
DEPARTMENT OF LABOR AND INDUSTRY
BUREAU OF WORKERS' COMPENSATION
1171 SOUTH CAMERON STREET; ROOM 103
HARRISBURG, PENNSYLVANIA 17104-2501
(717) 772-1914

NOTICE OF ASSIGNMENT OF UTILIZATION REVIEW: INITIAL REQUEST

NOTICE TO THE URO: You have five (5) business days from receipt of this Notice to make a written request for all necessary records and other relevant information from the provider under review. You must complete your review and render your report within thirty (30) calendar days of the date you receive the records and information or within sixty-five (65) calendar days of the date of this notice, whichever is earlier. If you have not received the records and information within thirty (30) calendar days of the request you may proceed with your review.

You have been assigned this case to render a determination only as to the reasonableness or necessity of the care under review. You may not give an opinion as to causation of the underlying injury or disease or the extent of the employee's disability under the Workers' Compensation Act. Also, do not render an opinion as to the reasonableness of a fee.

You must return this request to the Bureau for reassignment if you do not have the expertise or ability to render the review sought, or if you have a conflict with rendering this review. You must disqualify yourself from this review on the basis of a conflict if you have previously rendered an opinion on

this treatment for another purpose, including case management, review on behalf of a CCO or pre-review screening on behalf of an employer/insurer.

NOTICE TO EMPLOYER/INSURER: You must pay the reasonable and customary charge of the URO for its services upon initial review. Payment must be timely.

NOTICE TO HEALTH CARE PROVIDER: You must provide all necessary records and other relevant information to the URO within thirty (30) calendar days of the date of its request. If you fail to do so, the URO may proceed with its review, resulting in a determination against your interest.

[REMAINING EXHIBITS OMITTED IN PRINTING]

IN THE UNITED STATES DISTRICT COURT
FOR THE EASTERN DISTRICT OF PENNSYLVANIA

CIVIL ACTION NO. 95-CV-201

DELORES SCOTT SULLIVAN, WILLIAM BATTLE, LOUIS BAUMGARTNER, ANTHONY CANCILA, WILLIAM C. DILLON, By His Guardian and Next Friend, PAULINE DILLON, TERRENCE ERVINE, CHARLES MATTHEWS, CHRISTOPHER COSTELLO, LISA LEX, AND SUSAN HANSEN
On Their Own Behalf and on Behalf of All Similarly Situated Class Plaintiffs

and

PHILADELPHIA AREA PROJECT ON OCCUPATIONAL SAFETY AND HEALTH

and

PHILADELPHIA FEDERATION OF TEACHERS,
Intervenors

v.

JOHNNY J. BUTLER, Secretary of Labor and Industry for the Commonwealth of Pennsylvania;

and

RICHARD A. HIMLER, Director of the Pennsylvania Bureau of Workers Compensation

and

CONSTANCE B. FOSTER, Insurance Commissioner For the Commonwealth of Pennsylvania;

and

CATHERINE BAKER KNOLL, Treasurer,
Commonwealth of Pennsylvania;

and

JOHN P. O'MALLEY, Director,
State Workers' Insurance Fund;

and

AMERICAN MANUFACTURERS MUTUAL
INSURANCE COMPANY;

and

CIGNA CORPORATION;

and

COMMERCIAL UNION INSURANCE COMPANY;

and

CONTINENTAL CASUALTY COMPANY;

and

DONEGAL MUTUAL INSURANCE COMPANY;

and

HARTFORD INSURANCE COMPANY;

and

USF&G INSURANCE COMPANY;

and

ZURICH AMERICAN INSURANCE COMPANY;

and

SCHOOL DISTRICT OF PHILADELPHIA

AMENDED COMPLAINT-CLASS ACTION

I. PRELIMINARY STATEMENT

1. This is a civil rights action brought by named and class plaintiffs who had been receiving medical benefits pursuant to the Pennsylvania Worker's Compensation Act, 77 P.S. § 1, et seq., and who have been deprived of those benefits without prior notice and opportunity to be heard pursuant to the utilization review procedures contained in Sections 306(f.1)(5) and (6) of the Pennsylvania Workers' Compensation Act, as amended, 77 P.S. § 531(5) and (6) (Supp. 1994). Plaintiffs contend that Section 306(f.1)(5) and (6), which were passed by the Pennsylvania General Assembly in July, 1993 as part of a larger cost containment measure known as "Act 44", violate the Due Process Clause of the Fourteenth Amendment and 42 U.S.C. § 1983. Plaintiffs seek to have Section 306(f.1)(5) and (6) declared unconstitutional and further, to enjoin the named and class defendants from enforcing, acting or relying upon these provisions to withhold workers compensation medical benefits from the named and class plaintiffs. Plaintiffs additionally seek restoration of all benefits which have been withheld as a result of the unconstitutional utilization review procedures, as well as compensatory and punitive damages.

II. JURISDICTION

2. This is an action arising under 42 U.S.C. § 1983 seeking to redress the deprivation under color of state law of rights secured to the named and class plaintiffs by the United States Constitution. Jurisdiction is therefore predicated upon 28 U.S.C. § 1343(3) and (4). Jurisdiction is also conferred upon this Court by 28 U.S.C. §1331, since this case presents a federal question.

3. Declaratory and injunctive relief is sought pursuant to 28 U.S.C. §§ 2201-2202.

4. The named and class plaintiffs have no adequate remedy at law and have suffered, and will suffer, immediate and irreparable harm from the state action complained of herein, unless equitable relief is granted to them.

III. PARTIES

Plaintiffs-Individual

5. DELORES SCOTT SULLIVAN is a citizen of the United States and the Commonwealth of Pennsylvania who resides at 3230 N. Dover Street, Philadelphia, PA 19129.

6. WILLIAM BATTLE is a citizen of the United States and the Commonwealth of Pennsylvania who resides at 8552 Marsden Street, Philadelphia, PA 19136.

7. LOUIS BAUMGARTNER is a citizen of the United States and the Commonwealth of Pennsylvania who resides at 717 Mercer Street, New Castle, PA 16101.

8. ANTHONY CANCILA is a citizen of the United States and the Commonwealth of Pennsylvania who resides at 2151 Disston Street, Philadelphia, PA 19149.

9. CHRISTOPHER COSTELLO is a citizen of the United States and the State of New Jersey who resides at 7533 Torresdale Avenue, Philadelphia, PA 19136.

10. WILLIAM C. DILLON is a citizen of the United States and the Commonwealth of Pennsylvania who resides at 469 East Maple Avenue, Langhorne, Pennsylvania 19047. This action is brought by PAULINE DILLON, Guardian and Next Friend to WILLIAM C. DILLON. PAULINE DILLON resides at 732 15th Avenue, Prospect Park, Pennsylvania 19076.

11. TERRENCE ERVINE is a citizen of the United States and the State of New Jersey who resides at 8 Burgundy Drive, Marlton, New Jersey 08053.

12. LISA LEX is a citizen of the United States and the Commonwealth of Pennsylvania who resides at 398 Newark Road, West Grove, PA 19390.

13. CHARLES MATTHEWS is a citizen of the United States and the State of Delaware who resides at 100 Orchard Lane, Wilmington, Delaware 19809.

14. SUSAN HANSEN is a citizen of the United States and the Commonwealth of Pennsylvania who receives mail at P.O. Box 232, Narberth, PA 19072.

15. The PHILADELPHIA AREA PROJECT ON OCCUPATIONAL SAFETY AND HEALTH (PhilaPOSH), is a non-profit organization comprised of individuals and more than 2000 unions, representing approximately 300,000 workers in Southeastern Pennsylvania. PhilaPOSH advocates for occupationally safe workplaces and for the advancement of the rights of workers who have been injured in workplace accidents, through occupational disease, and other workplace hazards. Many PhilaPOSH members are injured workers who have been directly affected by the utilization review procedures at issue in this case, and who are potentially subject to the future loss of benefits pursuant to those provisions. PhilaPOSH maintains its principal place of business at 3001 Walnut Street, Philadelphia, PA 19104.

16. The PHILADELPHIA FEDERATION OF TEACHERS, LOCAL 3, AFL-CIO (PFT), is an unincorporated labor organization within the meaning of § 301(3) of the Public Employe Relations Act of 1970, P.L. § 63, No. 195 ("Act 195"), 43 P.S. § 1101.301(3) and is located at 1816 Chestnut Street, Philadelphia, PA 19103. The PFT represents ten (10) bargaining units consisting of approximately 20,000 professional and non-professional employees of the School District of Philadelphia for the purpose of collective bargaining. The PFT and the School District of Philadelphia are parties to a collective bargaining agreement whose terms and provisions expire on August 31, 1996. The PFT was permitted to intervene as a plaintiff in this litigation by order of the court dated March 30, 1995.

Plaintiffs-Class

17. The above-named plaintiffs bring this action on their own behalf, and on behalf of all other persons similarly situated, pursuant to Rules 23(a) and (b)(2) of the Federal Rules of Civil Procedure. The class represented by the named plaintiffs

consists of all persons who have been, or will be in the future, receiving medical benefits pursuant to the Pennsylvania Worker's Compensation Law, and who have had or will have their medical benefits superseded pursuant to Section 306(f.1)(5) without advance notice and an opportunity for an evidentiary hearing, at a meaningful time and in a meaningful manner, and whose right to have those benefits restored is thereafter adjudicated pursuant to the provisions of 306 (f.1)(6).

Defendants - Individual

18. JOHNNY J. BUTLER is the Secretary of the Department of Labor and Industry for the Commonwealth of Pennsylvania.[1] In his capacity as Secretary, Mr. Butler is charged with the legal responsibility to administer and enforce the laws of the Commonwealth of Pennsylvania relating to workers' compensation. Pursuant to Section 401.1 of the Pennsylvania Workers' Compensation Act, as amended, 77 P.S. § 710 (1992), the Department of Labor and Industry is statutorily charged with the duty to:

i. Enforce time and other performance standards so as to insure the prompt processing of injury claims and the payment of compensation when due;

ii. Appoint Workers' Compensation Judges;

iii. Hear and determine all claims and other petitions, including petitions to suspend, modify or terminate the payment of benefits resulting from prior agreement or judicial order;

iv. Adopt rules and regulations necessary for the enforcement of the Workers' Compensation Act.

19. As Secretary of the Pennsylvania Department of Labor and Industry, defendant Butler sits as one of the three members of the State Workers' Insurance Board which administers the

[1] Mr. Butler is hereby substituted for Robert C. Barnett, who was named in the original complaint, pursuant to Rule 25(d) of the Federal Rules of Civil Procedure.

daily operations of the defendant State Workers' Insurance Fund ("SWIF"). 77 P.S. § 211.

20. RICHARD A. HIMLER is the Executive Director of the Pennsylvania Bureau of Workers' Compensation.[2] As Executive Director, defendant Himler is charged with the duties and responsibilities of administering the Pennsylvania Workers' Compensation Act.

21. CONSTANCE B. FOSTER and CATHERINE BAKER KNOLL are, respectively, the Insurance Commissioner and Treasurer for the Commonwealth of Pennsylvania. Pursuant to 77 P.S. § 211, the State Insurance Commissioner and State Treasurer sit on the State Workers' Insurance Board, which is statutorily charged with the duty to administer the operations of defendant SWIF.

22. JOHN P. O'MALLEY is the Director of the STATE WORKERS' INSURANCE FUND ("SWIF"). SWIF was created pursuant to 77 P.S. § 221, in order to provide insurance coverage against potential liability arising under the Pennsylvania Workers' Compensation Act to contributing employers. SWIF is required to insure all risks, including those employers rejected or cancelled by private insurance companies. SWIF, like the private insurance carriers and the self-insuring employers named below, is governed by and subject to the substantive and procedural sections of the Pennsylvania Workers' Compensation Act.

Defendants-Class

23. AMERICAN MANUFACTURERS' MUTUAL INSURANCE COMPANY is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the

[2] Mr. Himler is hereby substituted for Frank Beal, who was named in the original complaint, pursuant to Rule 25(c) of the Federal Rules of Civil Procedure.

Commonwealth. Its principal place of business is Ten Independence Mall, Philadelphia, PA 19106.

24. CIGNA CORPORATION is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the Commonwealth. Its principal place of business is 1650 Market Street, Philadelphia, PA 19103.

25. COMMERCIAL UNION INSURANCE COMPANY is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the Commonwealth. Its principal place of business is 200 Foxboro Street, Suite 400, Foxborough, Massachusetts.

26. CONTINENTAL CASUALTY INSURANCE COMPANY (also known as CNA) is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the Commonwealth. Its principal place of business is 401 Penn Street, Reading, Pennsylvania.

27. DONEGAL MUTUAL INSURANCE COMPANY is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the Commonwealth. Its principal place of business is 1195 River Road, Marietta, Pennsylvania.

28. HARTFORD MUTUAL INSURANCE COMPANY is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the Commonwealth. Its principal place of business is 1515 Market Street, Philadelphia, Pennsylvania.

29. USF&G is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the

Commonwealth. Its principal place of business is 930 Harvest Drive, Suite 400, Blue Bell, Pennsylvania 19422.

30. ZURICH AMERICAN INSURANCE COMPANY is an insurance carrier licensed to do business in the Commonwealth of Pennsylvania, and specifically authorized to issue workers' compensation coverage within the Commonwealth. Its principal place of business is 401 Route 73, Marlton, New Jersey 08053.

31. The SCHOOL DISTRICT OF PHILADELPHIA is an employer as defined in the Pennsylvania Workers' Compensation Act, 77 P.S. § 221. The School District of Philadelphia has a special state certification as a self-insurer, thus exempting it from having to obtain workers' compensation liability insurance, pursuant to Section 305 of the Pennsylvania Workers' Compensation Act, as amended, 77 P.S. § 501. Its principal place of business is located at 21st Street and Benjamin Franklin Parkway, Philadelphia, Pennsylvania 19103.

32. The defendant class consists of all insurance companies, mutual associations, self-insured employment establishments, and all others authorized to insure the payment of worker's compensation benefits within the Commonwealth of Pennsylvania and who have relied on or will rely on Section 306(f.1)(5) of the Pennsylvania Workers' Compensation Act to supersede payment of medical benefits to a recipient without advance notice or the opportunity for a hearing prior to the cessation of those benefits, and who continue to withhold those benefits during the pendency of the utilization review process pursuant to Sections 306(f.1)(5) and (6).

IV. CLASS ACTION ALLEGATIONS

33. This case is properly maintainable as a class action pursuant to Rule 23(b) of the Federal Rules of Civil Procedure.

34. The class consists of more than 40,000 workers' compensation recipients who have had their medical benefits stopped pursuant to Section 306(f.1)(5) of the Pennsylvania

Workers' Compensation Act. Joinder of the affected class plaintiffs would be impracticable.

35. Questions of law and fact are common to the class, those being whether the superseding of workers' compensation medical benefits pursuant to Section 306(f.1)(5) without notice or opportunity to be heard, the withholding of those benefits throughout the pendency of the utilization review process, and the procedures utilized during utilization review pursuant to Section 306(f.1)(6), deprives plaintiffs of property without due process of law.

36. The claims of the named plaintiffs and the defenses of the named defendants are typical of the claims and defenses of the classes they represent.

37. The named plaintiffs and defendants will fairly and adequately protect the interests of their respective classes because, inter alia,

a) the named plaintiffs and defendants represent the same interests as do members of their respective classes;

b) the named plaintiffs and defendants have no interest antagonistic to any member of their respective classes;

c) the named plaintiffs will vigorously prosecute their claims on behalf of the class they seek to represent and it is expected that the named defendants will likewise do so;

d) the named plaintiffs' attorneys are experienced and qualified at handling complex class actions of this type.

38. The named and class defendants' class have acted, or refused to act, on grounds applicable to the plaintiff class, thereby making declaratory, injunctive, and other equitable relief appropriate with respect to the plaintiff class as a whole.

V. STATEMENT OF FACTS

39. The Pennsylvania Workers' Compensation Act of June 2, 1915, P.L. 726, as amended, 77 P.S. § 1 et seq. (Supp. 1993) (hereinafter referred to as "the Act"), is a statute of

statewide applicability. Its purpose is to substitute a state-regulated insurance system which provides a reasonable compensation for injuries to employees arising in the course of their employment for the common law rights and liabilities of employees and employers.

40. The Act requires employers to obtain insurance or to seek permission from the state to self-insure, so as to guarantee the availability of sufficient funds to pay eligible workers' benefits pursuant to a statutory formula. Employers who do not self-insure may insure the payment of workers' compensation benefits with the Commonwealth-administered SWIF, or with any other insurance company or mutual association authorized to insure such liability in the Commonwealth, 77 P.S. § 501.

41. SWIF is required to insure all risks including those rejected or cancelled by private carriers.

42. The employer and/or insurer are required to promptly investigate each industrial injury reported or known to the employer, and within 21 days from the date reported, either:

a) enter into an agreement which requires the payment of compensation;

b) commence the payment of compensation pursuant to a Notice of Compensation Payable; or

c) notify the employee or his dependent on a prescribed form that it is the employer's/insurer's opinion that compensation is not payable.

43. The Department of Labor and Industry, upon being notified by the employer of the employer's intention to controvert the payment of compensation, is required to notify the injured employee of his right to file a claim petition with the Department of Labor and Industry. Subsequently, the Department assigns each claim petition to a state workers' compensation judge.

44. All agreements and awards may be modified, suspended, reinstated, or terminated at any time by an agreement

or supplemental agreement, as the case may be, if the incapacity of the injured employee has increased, decreased, reoccurred, terminated, or changed in any other way.

45. All such agreements and/or supplemental agreements must be sent to the Pennsylvania Department of Labor and Industry which, through its Bureau of Workers' Compensation (hereafter "the Bureau"), examines such documents to determine whether each agreement or supplemental agreement, as the case may be, conforms with the provisions of the Act and the rules and regulations promulgated thereunder.

46. In the absence of an agreement or supplemental agreement, the employer/insurer must petition the Department of Labor and Industry in order to suspend, terminate, reduce or otherwise modify any agreement or award of compensation. This applies both to wage loss benefits and to medical benefits payable under the Act.

47. As a result of a decision by a three-judge court in Baksalary v. Smith, 579 F. Supp. 218 (E.D. Pa. 1984), employers or insurance companies seeking to cease workers' compensation benefits pending litigation over the right to terminate, suspend, or reduce benefits, is required to seek a discretionary supersedeas from a workers' compensation judge which can be granted or denied after a hearing at which recipients have an opportunity to be present and give evidence.

48. Prior to Baksalary, employers and insurers were entitled to automatically cease wage loss and medical benefits upon the filing of a petition with the Bureau accompanied by a physician's affidavit of recovery pursuant to Section 413(a) of the Act.

49. Baksalary declared the automatic supersedeas procedure contained in Section 413(a) to be unconstitutional and enjoined its further use.

50. On July 2, 1993 Act 44 was passed by the Pennsylvania Legislature, containing several amendments to the Pennsylvania Worker's Compensation Act intended to contain

workers' compensation costs. It became effective on August 31, 1993.

51. Act 44 contained provisions, now known as Sections 306(f.1)(5) and (6), for utilization review of the reasonableness and necessity of medical treatment, which like the invalidated Section 413(a), operates as an automatic supersedeas of workers' compensation medical benefits upon the filing of a petition with the Bureau by the insurer or employer.

52. Like the invalidated Section 413(a), no notice to the claimant or his/her attorney is required to be provided to the recipient prior to the cessation of benefits.

53. Like the invalidated Section 413(a), the utilization review procedure contained in Section 306(f.1)(5) provides no opportunity for the claimant or his/her counsel to be heard prior to the cessation of benefits.

54. Pursuant to Section 306(f.1)(5), an insurer or self-insured employer may seek utilization review of the reasonableness and necessity of current, prospective, or retrospective medical treatment.

55. There is no penalty for an insurer or self-insured employer who invokes the utilization review process unreasonably.

56. The Bureau administers all requests for utilization review, acting as a "traffic cop" for the entire process.

57. Each request for utilization review is made by filing a petition with the Bureau on a form designed and approved by it.

58. The Bureau screens all petitions for utilization review for conformity with Section 306(f.l)(5) and (6) and assigns them to a utilization review organization certified by the Department of Labor and Industry. Any petition found not to be in conformity is returned to the petitioner with specific instructions.

59. The period between the filing for utilization review and assignment by the Bureau to a URO may encompass several weeks or even months.

60. At the time of the assignment to the URO, the Bureau forwards a Notice of Assignment to the recipient, the employer, and the medical provider under review.

61. Neither the Request for Utilization Review nor the Notice of Assignment notify the claimant that pursuant to the request or its assignment, payment for his or her medical benefits will be stopped pending the review.

62. The provider under review is given an opportunity to discuss the challenged treatment with the URO.

63. There is no opportunity for the recipient or his counsel to be heard by the URO or to submit evidence supporting the recipient's claim for benefits.

64. The Bureau provides no substantive guidance to the URO to define the terms "reasonable and necessary", thus leaving the construction of the standard to be applied to the discretion of the individual URO's.

65. The URO is responsible for rendering a determination within thirty days of receipt of the providers medical records, or sixty days of the assignment, whichever occurs first.

66. This time frame is often not adhered to, causing many claimants to wait more than thirty days for a decision during which most are without access to medical care due to the employer/insurer's right to supersede payment.

67. The URO must file its report with ~~the~~ Bureau, along with a Bureau-designed face sheet, and mail copies to all involved parties.

68. A party dissatisfied with the outcome of a utilization review may file for reconsideration with the Bureau on a form prepared by the Bureau within thirty days of the initial decision.

69. The Bureau will review the form for compliance with the statute, and assign the case for disposition by a URO certified by the Department of Labor and Industry.

70. The period between the filing for reconsideration and assignment by the Bureau to a URO may encompass several weeks, or even months.

71. Even if the claimant receives a favorable decision from the initial URO, the supersedeas of his/her medical benefits remains in effect if the employer requests reconsideration.

72. Although the claimant receives a copy of the employer/insurer's request for reconsideration, and the Notice of Assignment issued by the Bureau, neither document notifies the claimant that his/her benefits will be suspended throughout the pendency of the request for reconsideration.

73. During reconsideration, the provider of medical services is extended an opportunity to discuss the treatment under review, but no opportunity to be heard or to submit evidence is afforded the recipient or his counsel.

74. A claimant who seeks reconsideration unsuccessfully is liable for payment of the URO's expenses.

75. Likewise, if reconsideration of an initial utilization review decision which was favorable to the claimant is sought by the insurance company or employer, and the decision is reversed on reconsideration, the claimant is liable for payment of the URO's expenses.

76. Neither the Request for Reconsideration nor the Notice of Assignment notify the claimant that he will be liable for the URO's expenses if he does not prevail on reconsideration.

77. The cost of utilization review at the reconsideration level is not fixed by the Bureau, but is left to the discretion of the individual URO. The typical charge involves several hundred dollars.

78. There is no in forma pauperis procedure to excuse indigent claimants from the assessment of the reconsideration fee.

79. The Bureau takes collection action against a claimant for the reconsideration fee notwithstanding the claimant's ability or inability to pay.

80. The fee is assessed against the claimant as the "losing party" without any opportunity for the claimant to be heard as to the reasonableness and necessity of the medical treatment under review.

81. In the event that a recipient is dissatisfied with the URO decision on reconsideration, he/she may file a Petition for Review with the Bureau within thirty days on a form prepared by the Bureau.

82. During the pendency of the Petition for Review filed by a claimant, the supersedeas of the claimant's medical benefits remains in effect.

83. If the claimant prevails on reconsideration, the supersedeas is lifted, even if the employer files a Petition for Review.

84. The Bureau reviews all Petitions for Review for compliance with the statute, and assigns the petition to a workers' compensation judge for a de novo hearing.

85. A claimant is not eligible for a hearing before a workers' compensation judge unless he/she first seeks reconsideration and risks assessment of the utilization review fee.

86. Proceedings before the workers' compensation judge may extend for several months and claimants may await a decision for several months or even years.

87. The Bureau has promulgated no regulations setting forth how workers' compensation judges are to handle petitions for review from utilization review reconsideration decisions.

88. Accordingly, procedures for the determination of petitions for review vary widely according to the individual discretion of the assigned judge, as to who has the burden of proof, what evidence will be allowed, the type and extent of hearing provided, whether the utilization review decisions will be permitted as evidence or whether the utilization reviewer will be permitted to testify, whether the claimant will be required to undergo a medical examination, whether depositions will be required, and a variety of other procedural matters.

89. The withholding of medical benefits during the utilization review process can be very prolonged, extending months or years during completion of the utilization review process.

90. For many workers' compensation recipients whose medical benefits are unilaterally terminated pursuant to Section 306(f.1)(5) and (6), pain, prolonged recuperation, and/or other medical complications result.

91. Throughout the utilization process, however long it takes, the claimant is not permitted to pay for medical treatment him or herself either directly or through medical insurance from another source, and is thus precluded from seeking or securing medical treatment altogether.

VI. THE NAMED PLAINTIFFS

DELORES SCOTT SULLIVAN

92. Delores Scott Sullivan worked as a Secretary for a workers' compensation judge for the Pennsylvania Department of Labor and Industry.

93. On February 26, 1991, Ms. Sullivan notified her employer that she was suffering pain in her hands, arms, and her neck which she believed to be work related.

94. She continued to work until October 12, 1992, but sought medical treatment in the meantime, rendering a diagnosis of cumulative trauma disorder and disc herniation in the neck.

95. Ms. Sullivan began receiving wage replacement and medical benefits via workers' compensation pursuant to a Notice of Compensation Payable dated February 5, 1993.

96. On March 18, 1992, SWIF, on behalf of the Department of Labor and Industry, filed a petition seeking review of the medical benefits Ms. Sullivan was receiving pursuant to her workers' compensation and requested a supersedeas.

97. On July 13, 1993, Workers' Compensation Judge John Liebau entered an order denying SWIF's request for supersedeas.

98. SWIF filed for utilization review of the treatment Ms. Sullivan was receiving from Dr. Kenneth L. Izzo and the Pain Management and Rehabilitation Center.

99. Pursuant to that request and without notice to Ms. Sullivan, SWIF unilaterally terminated payment for Ms. Sullivan's medical treatment.

100. Ms. Sullivan was afforded no opportunity to be heard prior to the cessation of her medical benefits.

101. On April 20, 1994, a decision was rendered by Rehabilitation Planning, Inc., the URO assigned by the Bureau to consider the request, finding the treatment under review to be unnecessary.

102. Through counsel, Ms. Sullivan filed for reconsideration on May 15, 1994.

103. An adverse decision was rendered by the URO on reconsideration on September 20, 1994.

104. On October 7, 1994, a petition for review was filed on Ms. Sullivan's behalf by her attorney. That petition is presently pending.

105. Since SWIF unilaterally terminated Ms. Sullivan's medical benefits she has been unable to secure medical treatment for her condition.

106. Due to the actions of SWIF and the state defendants Ms. Sullivan has been without relief for the pain in her hands, neck, and back, has experienced an exacerbation of her symptoms due to the lack of treatment, has been unable to procure medication, and has suffered emotional distress.

WILLIAM BATTLE

107. William Battle was a laborer for ITW Philadelphia Resins when on December 9,1992 he was hit in the head with a 300 pound pot when the skid upon which it was resting broke.

108. Mr. Battle suffered two herniated discs in his neck and two bulging discs in his back as a result of this accident.

109. Mr. Battle began receiving workers' compensation benefits in January of 1993.

110. In August, 1993, American Manufacturers' Mutual Insurance Company filed a petition to terminate Mr. Battle's workers' compensation benefits.

111. The insurer requested a discretionary supersedeas from the workers' compensation judge, which was denied on March 9, 1994. The Judge ordered the defendant to "continue to pay claimant's weekly benefits and reasonable and necessary medical expenses incurred in connection with Claimant's injury of December 9, 1992".

112. On or about April 5, 1994, the insurer filed a three requests for utilization review of all medical treatment being provided for Mr. Battle.

113. Upon the filing of those requests and without notice to Mr. Battle, the insurer ceased paying for any medical treatment for the injuries sustained by Mr. Battle in his December, 1992 work-related accident.

114. Mr. Battle was afforded no opportunity to be heard prior to the cessation of his benefits.

115. The utilization review requests were decided adversely to Mr. Battle upon initial review and again on reconsideration.

116. Petitions for Review were filed in August, September, and November of 1994. All three are presently awaiting decision by the Workers' Compensation Judge.

117. As a result of the insurer's unilateral action, no treatment bills have been paid since April 5, 1994, and Mr. Battle is unable to obtain the treatment he requires to treat his disabling symptoms.

118. The actions of defendant American Manufacturers Mutual in conjunction with the state defendants have caused Mr. Battle to experience increased pain, reduced mobility, and emotional distress.

LOUIS BAUMGARTNER

119. Louis Baumgartner was employed at Dan's Farm Fresh Poultry on March 22, 1989, when he fell as he was unloading a box of frozen chicken from a truck.

120. Mr. Baumgartner sustained injuries to his back, elbows, and head during this accident.

121. Mr. Baumgartner began receiving workers' compensation benefits on April 20, 1989 pursuant to a Notice Of Compensation Payable issued by Donegal Mutual Insurance Company (hereafter "Donegal").

122. The injuries to Mr. Baumgartner's elbows and back were permanent, and he was therefore foreclosed from returning to the type of work he did prior to his accident.

123. In July of 1990 Mr. Baumgartner returned to the workforce as a security guard. He is so employed at the present time on a part-time basis, earning $5.00 per hour.

124. As a result of the injuries he sustained in his 1989 accident, Mr. Baumgartner still experiences constant pain in his back and has bilateral neuropathy in both hands.

125. Mr. Baumgartner has been receiving chiropractic treatments two times per week which help to control the pain and permit him to function. Without those treatments Mr. Baumgartner would be unable to work at all.

126. On August 29, 1995 Donegal Mutual Insurance Company filed a Request for Utilization Review, challenging the reasonableness and necessity of the chiropractic treatments which Mr. Baumgartner had been receiving from August 31, 1993 to the present.

127. At that time, Donegal stopped paying for Mr. Baumgartner's chiropractic treatment.

128. Mr. Baumgartner received a decision from the URO which found the treatment he had received after September 26, 1995, but not before, to be unreasonable and unnecessary.

129. Mr. Baumgartner filed a Request for Reconsideration on November 20, 1995.

130. Mr. Baumgartner received no notice that he might be liable for the payment of the URO's expenses if he did not prevail on reconsideration.

131. On January 10, 1996 Mr. Baumgartner received a decision from the URO finding the treatment he had received from August 31, 1993 and ongoing was unreasonable and unnecessary.

132. Mr. Baumgartner filed a Petition for Review on February 2, 1996, which is presently pending before a Workers' Compensation Judge.

133. A penalty petition was also filed pertaining to the monies owing to the chiropractor during the time frame found to be reasonable and necessary by the first URO. Those bills, totalling $1223.98, were ultimately paid by Donegal.

134. Meanwhile, on February 8, 1996, the Bureau sent Mr. Baumgartner a bill for $525.00, representing the URO's expenses on reconsideration.

135. Mr. Baumgartner's attorney wrote to the Bureau contesting the fee because Mr. Baumgartner had been deemed to be the "losing party" without a hearing, and further, because Mr. Baumgartner cannot afford to pay the bill. Mr. Baumgartner's attorney requested *in forma pauperis* status for him.

136. The Bureau responded by letter dated March 4, 1996 that "[t]here is no hearing process" on this matter, and advised Mr. Baumgartner's attorney to contact David Weyl, Chief of Medical Cost Containment, if he disagreed with Bureau's position.

137. By letter dated April 2, 1996 Mr. Baumgartner's attorney wrote to Mr. Weyl requesting a hearing and also requesting in forma pauperis status for Mr. Baumgartner due to his financial condition.

138. Mr. Weyl responded in a letter dated April 16, 1996 that under the Bureau's regulations, Mr. Baumgartner is the "liable party", and is therefore responsible for the payment of the URO's expenses.

139. Donegal has made no payments to Mr. Baumgartner's chiropractor since the date of its initial Request for Utilization Review.

140. Mr. Baumgartner has been receiving the chiropractic treatments which he needs to maintain his functional ability to work only because his chiropractor has provided him the treatments without demanding payment.

ANTHONY CANCILA

141. Anthony Cancila was employed as a plumber for Temple University Hospital when he began experiencing extreme back pain in April of 1988.

142. Shortly thereafter he was forced to leave his employment as a result of his pain.

143. Two damaged discs were found in his back and Mr. Cancila underwent spinal fusion in an effort to reduce his symptoms.

144. Mr. Cancila began receiving workers' compensation benefits from CIGNA pursuant to a Notice of Compensation Payable on May 3, 1988.

145. Mr. Cancila had received little relief from the therapies he had received in 1990 and 1991 for his back condition, including the surgery, and has experienced continued incapacity which permanently precludes his return to the plumbing trade.

146. In August of 1993 CIGNA petitioned the Bureau of Workers' Compensation to terminate Mr. Cancila's workers' compensation benefits on the assertion that he was able to return to work.

147. A supersedeas hearing was held on January 10, 1994, at which CIGNA presented evidence in support of its request.

148. On February 7, 1994, Judge Joseph E. Hagen determined that CIGNA had presented inadequate evidence to justify the supersedeas request and entered an order denying the supersedeas and ordering defendant to pay claimant's weekly benefits and reasonable and necessary medical expenses.

149. Meanwhile, the plaintiff began physical therapy at the Philadelphia Center for Aquatic Rehabilitation, which provided great relief from his pain.

150. Subsequent to the supersedeas decision, on April 26, 1994, CIGNA filed a petition for utilization review of physical therapy services retroactive to March 1, 1994, and stopped paying for the aquatic therapy.

151. The Philadelphia Center for Aquatic Rehabilitation provided services to Mr. Cancila through the month of June, 1994 without payment, but terminated services at that time due to non-payment by CIGNA.

152. Since that time, Mr. Cancila has had no access to the therapy he needs for pain relief.

153. The actions of CIGNA, in conjunction with the Commonwealth defendants, have caused Mr. Cancila to suffer an exacerbation of pain and his physical symptoms, and emotional distress.

CHRISTOPHER COSTELLO

154. Christopher Costello worked as a roofer for the H. Aronow Roofing Company when he suffered severe burns on his hand as a result of a hot asphalt spill on June 11, 1990. During the accident Mr. Costello suffered several falls, resulting in injury to his back and arms as well.

155. Mr. Costello began receiving compensation benefits from USF&G Insurance Company pursuant to a Notice of Compensation Payable dated July 5, 1990.

156. Mr. Costello began receiving medical treatment for his injuries and was diagnosed with bilateral C6 radiculopathy, right and left carpal tunnel syndrome and right and left ulnar neuropathy. He eventually developed nerve compressions in his right and left arms.

157. Dr. Greene recommended that Mr. Costello undergo surgery on his right arm to curb the nerve damage which he suffered as a result of his accident, and to prevent further and probably permanent damage from occurring.

158. USF&G refused to provide clearance for the surgery.

159. On November 23, 1993, USF&G filed a petition for utilization review challenging Mr. Costello's right to further orthopedic treatment and possible surgery, retroactive to September 1, 1993.

160. Without notice to Mr. Costello and pursuant to the petition for utilization review, USF&G unilaterally terminated payments to Dr. Greene.

161. Mr. Costello was afforded no opportunity to be heard prior to the cessation of his benefits.

162. The Bureau referred the petition to Independent Medical and Dental Consultants, Inc. for disposition, which rendered a decision in Mr. Costello's favor.

163. On March 7, 1994, USF&G filed a Request for Reconsideration, which the Bureau assigned to OMNI Medicorp Ltd. for disposition.

164. On April 8, 1994, the URO issued a decision finding ongoing treatment for Mr. Costello's injuries and surgery for those injuries to be unreasonable.

165. Through counsel, a Petition for Review of the URO Determination was filed on April 27, 1994, and is presently pending before the Workers' Compensation Judge.

166. As a result of USF&G's unilateral termination of Mr. Costello's medical benefits he has been unable to procure the surgery he needs, thus hampering his rehabilitation and prolonging his disability.

167. The actions of defendant USF&G, acting in conjunction with the state defendants, have caused Mr. Costello to suffer prolonged disability and permanent physical damage, to endure unnecessary pain, and have caused him emotional distress.

WILLIAM C. DILLON, by his Guardian and Next Friend, PAULINE DILLON

168. William C. Dillon was employed by CH Schwertner & Sons on September 29, 1981, when he was injured during a scaffolding accident.

169. Mr. Dillon fell forty feet and suffered traumatic brain injuries, cervical fracture, spinal cord injury, frontoparietal fracture and hematoma, lwtort III fracture, hemothorax mandibular fracture, fracture subluxation of C1 and C2 and quadriparesis, as well as right eye blindness, cognitive dysfunction an significant hearing loss.

170. Mr. Dillon remained in a coma for a year and a half after the accident, during which time he received custodial care at the Haverford Nursing Center.

171. Mr. Dillon emerged from his coma on February 16, 1983 and shortly thereafter was transferred to the Lewis Bay Brain Center in Hyannis, Massachusetts.

172. Mr. Dillon received extensive rehabilitative therapy in this facility, and learned to talk, feed himself, and use the bathroom on his own, among other things.

173. Since the Brain Center was a short term facility, Mr. Dillon was moved after six months to the Paoli Nursing Home, where he received only custodial care.

174. Under a custodial regime Mr. Dillon began to regress in many of the skills he had re-acquired during his rehabilitation at the Lewis Bay Brain Center.

175. Mr. Dillon was ultimately moved to the Beechwood Rehabilitation Center where he has resided since 1986.

176. Beechwood has a comprehensive rehabilitation program which has permitted Mr. Dillon to achieve a level of independence which he could not have achieved and cannot maintain without such therapy.

177. On October 12, 1996 Commercial Union Insurance Company (hereafter "Commercial Union"), filed a request for utilization review of all active rehabilitation which Mr. Dillon was receiving retroactive to August 1, 1995.

178. Based upon the filing of the request for utilization review, Commercial Union reduced the monthly payments it was making to Beechwood to reflect what it deemed to be the appropriate rate for a residential facility which provides custodial care and no active rehabilitation.

179. The URO, Worldwide Auditing Services, received the request on October 20, 1996 and rendered a decision against Mr. Dillon on November 30, 1996.

180. The basis for the URO's decision was that the rehabilitation which Mr. Dillon was receiving was not reasonable and necessary because his condition is not amenable to further improvement.

181. A Request for Reconsideration on his behalf on December 1, 1995.

182. Ms. Pauline Dillon, Mr. Dillon's mother, was appointed as Mr. Dillon's legal guardian by order of the Delaware County Orphan's Court on April 29, 1982, and has served in that capacity since that time.

183. Ms. Dillon received no notice that she would be assessed a fee if she did not prevail on reconsideration.

184. An adverse reconsideration decision was rendered by the URO on or about January 19, 1996.

185. On or about February 5, 1996, Mr. Dillon received a bill from the Bureau notifying him that he was the "losing party" and informing him that as such, he was responsible for the payment of the URO's expenses upon reconsideration, totalling $545.00.

186. Mr. Dillon's attorney filed a Petition for Review on February 12, 1996 challenging the decisions of the URO.

187. That decision is presently pending.

188. Meanwhile, Beechwood has informed Mr. Dillon that he will have to be removed from the facility due to the reduction in payment which it has been receiving from Commercial Union on his behalf.

189. Mr. Dillon's treating physicians characterize Mr. Dillon's need for continuing rehabilitation services as urgent, because without them he will be unable to maintain the level of functioning that he has been able to acquire with the therapy.

TERRENCE ERVINE

190. Terrence Ervine was working as a bus boy for the Hilton Hotel when he slipped on grease on the restaurant floor and sustained permanent injuries to his neck and back on November 17, 1978.

191. Mr. Ervine began receiving workers' compensation benefits shortly thereafter.

192. Mr. Ervine's injuries prevented him from ever going back to the type of work he was doing at the Hilton at the time of his injury. Accordingly, he went back to school for retraining.

193. As of October 15, 1982 Mr. Ervine was able to go back to work, and agreed to suspend his workers' compensation wage benefits via a supplemental agreement. Under the terms of the suspension, Mr. Ervine would continue to receive treatment for the residual effects of the work injuries which he sustained in 1978.

194. Mr. Ervine has continued to work since the execution of his supplemental agreement, and is presently maintaining a business of his own. However, he has required physical therapy and other treatments in order to maintain the physical capability to perform his job.

195. On December 12, 1993 the Hartford Insurance Company filed a request for utilization review for the chiropractic services which Mr. Ervine had been receiving.

196. A second request for utilization review was filed on June 13, 1994 challenging the physical therapy services which Mr. Ervine was receiving for his work related disability.

197. Initial decisions were rendered on May 27, 1994 and August 19, 1994, respectively, both of which were in favor of the insurer.

198. Mr. Ervine sought Reconsideration as to both decisions on June 9, 1994 and July 1994, respectively.

199. A Reconsideration decision was issued on September 30, 1994 finding the physical therapy Mr. Ervine had been receiving to be unreasonable and unnecessary.

200. A reconsideration decision in favor of the employer was issued as to chiropractic care on March 10, 1995.

201. Timely petitions for review were filed as to both utilization reviews and are awaiting decision by the workers' compensation judge assigned to the case.

202. Since the time of the initial request for utilization review challenging the chiropractic treatment, Hartford has superseded payments of all medical services which Mr. Ervine had been receiving.

203. Since the initial request for utilization review challenging Mr. Ervine's physical therapy, he has been able to receive physical therapy for his injury only because his doctor has been kind enough to treat him without demanding payment.

204. Mr. Ervine requires the treatment in order to keep his pain under control and maintain his level of functioning. Without the treatment Mr. Ervine would be unable to maintain his business.

LISA LEX

205. On December 8, 1986, Lisa Lex worked as a sales person at Macy's Department Store when she suffered a twisting injury to her spine while lifting a forty-five pound package of stoneware.

206. As a result of her injury, Ms. Lex sustained permanent nerve damage to her neck and right hip and leg.

207. As a result of her injuries, Ms. Lex has been unable to resume her employment in retail sales.

208. On March 2, 1992, Ms. Lex entered into a settlement with Zurich American Insurance Company in which she agreed to accept a lump-sum in full compromise of her lost

wage claim, and the insurance company in turn agreed to provide ongoing medical care for Ms. Lex's residual symptoms.

209. At the time of the settlement and since then, Ms. Lex has suffered constant pain in her right hip with radiation through her right leg. She has carpal tunnel syndrome in both hands.

210. Ms. Lex has been undergoing weekly physical therapy prescribed by her physician to reduce the functional impact of her injuries.

211. Although the therapy cannot cure her condition, it has provided symptomatic relief which has enabled her to return to work in a sedentary job.

212. Since September 15, 1992, Ms. Lex has been employed by Skyvision Cable as a Customer Service Representative.

213. On March 3, 1994, Zurich American Insurance Company filed for utilization review of Ms. Lex's physical therapy and unilaterally stopped paying for her treatments. The petition was assigned by the Bureau on April 7, 1994.

214. Neither Ms. Lex nor her counsel were given advance notice that medical benefits would be stopped, and neither were provided an opportunity to be heard as to the propriety of the cessation of those benefits.

215. A URO determination adverse to Ms. Lex was rendered on June 14, 1994.

216. Ms. Lex's treating physician, Dr. Robert Smith, filed for reconsideration on June 20, 1994.

217. The Bureau assigned the Request for Reconsideration on September 9, 1994.

218. A decision adverse to Ms. Lex was rendered on October 17, 1994.

219. Ms. Lex's attorney was not timely apprised of the outcome of the reconsideration by either the doctor or the URO. Accordingly, no appeal could be filed.

220. On December 1, 1994, as a result of the unpaid medical bills for treatments rendered to Ms. Lex from March, 1994 to the present, Ms. Lex was informed that her treatments would be stopped.

221. The actions of defendant Zurich, acting in concert with the state defendants, have caused Ms. Lex to suffer increased pain, enhanced dependence upon medication, reduced functional capacity which threatens her ability to maintain her employment, and emotional distress.

CHARLES MATTHEWS

222. Charles Matthews was working for Manpower at the Westinghouse Trash Facility when he was injured on September 5, 1992 by a 600 pound piece of metal slag which slid down a broken refuse tank.

223. Mr. Matthews suffered, among other injuries, a crushed leg and a medial meniscus tear which required surgery. Since that time, he has developed reflex sympathetic dystrophy in his knee, which has prevented him from regaining use of his leg.

224. Since the accident and as a direct result of it, Mr. Matthews has been confined to a wheelchair.

225. Also as a direct result of his accident, Mr. Matthews has suffered from depression and post traumatic stress disorder.

226. Mr. Matthews has been unable to work since his accident, and has been receiving medical care and wage loss benefits through workers' compensation.

227. Among the services Mr. Matthews was receiving through workers' compensation were attendant care services in his home.

228. On June 22, 1994, CNA Insurance Company (CNA) filed for utilization review of each of the medical services which Mr. Matthews receives, including attendant care services and transportation, and terminated payment for those services without advance notice to him or an opportunity to be heard.

229. On July 5, 1994, Mr. Matthews was attempting to remove the trash from his apartment, a task which had been previously performed for him by the attendant care worker. He lost his balance and fell down a flight of concrete stairs, injuring his legs and shoulder, and experiencing excruciating pain in his damaged leg.

230. Approximately one week later, Mr. Matthews was attempting to enter his kitchen to make lunch, a service which had been previously performed for him by the attendant care worker, and fell again, injuring his right shoulder.

231. The Request for Utilization Review, which had been filed on June 22, 1994, was assigned by the Bureau on July 29, 1994.

232. On September 29, 1994, prior to any decision being rendered by the URO, the insurance carrier withdrew the request for review.

233. On or about the same date, however, CNA refiled the URO, again challenging the attendant care services which Mr. Matthews had been receiving.

234. Upon the withdrawal of the first request for utilization review, the insurance company failed to make any payments encompassed by the time frame of that request.

235. Mr. Matthews ultimately received a favorable determination from the utilization review organization as to the second filing.

236. Another Request for utilization review was filed against Mr. Matthews in approximately October of 1994, this time challenging Mr. Matthews' medical treatment.

237. On December 29, 1994 Mr. Matthews received a favorable decision from the URO, finding the medical treatment he was receiving to be reasonable and necessary.

238. In approximately August of 1995, CNA filed another request for utilization review of the attendant care services Mr. Matthews had been receiving.

239. Again, the treatment was found to be reasonable and necessary.

240. On August 30, 1995, Mr. Matthew's attorney filed a petition on his behalf seeking penalties against CNA because despite the favorable decisions rendered by the various URO's which had reviewed his case, and which were unappealed by the carrier, Mr. Matthew's medical expenses had still not been paid.

241. That petition was ultimately withdrawn when the bills were finally paid.

242. After each request for utilization review, the services which were necessary for Mr. Matthews to travel to his doctors' appointments, receive medical treatment, and secure services in his home were interrupted, placing him at great risk of physical injury, and in some cases led to actual injury, caused him to suffer harassment by medical creditors, and further caused enormous inconvenience and emotional distress.

243. These injuries were produced by the defendant Continental Casualty, acting in conjunction with the state defendants.

SUSAN HANSEN

244. On March 1, 1990, Susan Hansen was working as a long-term substitute teacher for the School District of Philadelphia when she was injured by five pound block of wood which was hurled at her from across the classroom by ten year old student.

245. Ms. Hansen suffered a traumatic thrombophlebitis of the right leg, which eventually produced reflex sympathetic

dystrophy. She has also suffered severe psychological symptoms as a result of her injury and the problems she has encountered as a result of it.

246. Ms. Hansen began receiving workers' compensation benefits pursuant to a Notice of Compensation Payable on April 19, 1990.

247. Ms. Hansen received workers' compensation medical benefits covering orthopedic services, including supervision by her doctor and physical and bio-feedback therapy, and psychological treatment.

248. On July 27, 1992, the School District of Philadelphia, through its benefit administrator, filed a petition to terminate Ms. Hansen's workers' compensation benefits.

249. The District requested a supersedeas of benefits, which was denied by Workers' Compensation Judge John Liebau on September 28, 1992.

250. On October 18, 1993, the District filed a petition with the Bureau for utilization review of the psychological treatment Ms. Hansen was receiving from her psychologist, Dr. Julie Weiss.

251. That petition was assigned by the Bureau to the Delaware Valley Peer Review Organization on December 2, 1993.

252. Pursuant to that petition, the School District unilaterally terminated all payments to Ms. Hansen's psychologist without notice to Ms. Hansen.

253. On January 20, 1994, the URO issued a decision denying further psychological treatment to Ms. Hansen.

254. On February 10, 1994, Ms. Hansen filed a Request for Reconsideration from the first URO decision.

255. On April 28, 1994, another adverse decision was rendered by the reviewing URO.

256. On May 26, 1994, Ms. Hansen, through her attorney requested review of the URO decisions by a workers' compensation judge, but no review date has been set.

257. Since the initial petition for utilization review was filed, Ms. Hansen has been required to pay $90.00 per visit in order to procure the psychological therapy she needs in order to cope with the severe psychological symptoms produced by her work injury.

258. On or about October 18, 1993, the School District filed a petition for utilization review of the orthopedic treatment Ms. Hansen was receiving for treatment of her injured leg, including medical supervision, physical and biofeedback therapy.

259. Pursuant to this petition, and without notice to Ms. Hansen, the School District took an automatic supersedeas of benefits and stopped paying for her orthopedic treatment.

260. On February 25, 1994, the Delaware Valley Peer Review Organization which had been assigned by the Bureau to process the URO request, issued a decision denying Ms. Hansen bio-feedback and physical therapy and reducing her doctors' visits to one time every four to six months.

261. On March 23, 1994, Ms. Hansen requested reconsideration of the initial decision.

262. A second adverse decision was issued on June 7, 1994 by the Bureau-assigned URO, the Villanova Rehabilitation Consultants, Inc.

263. On June 21, 1994, Ms. Hansen, through counsel, filed for Review of the URO decision by a Workers' Compensation Judge. That request is still pending.

264. As a result of the actions of the School District, acting in conjunction with the state defendants, Ms. Hansen has suffered severe pain, financial loss, and emotional distress.

VII. STATEMENT OF CLAIMS

COUNT I:

THE AUTOMATIC SUPERSEDEAS CONTAINED IN SECTION 306(F.1(5) VIOLATES PLAINTIFFS' RIGHT TO PROCEDURAL DUE PROCESS OF LAW

265. Plaintiffs reallege and incorporate by reference all allegations contained in Paragraphs 1 - 264 herein.

266. Named and class defendants, acting under color of state law, and pursuant to Section 306(f.1)(5) of the Pennsylvania Workers' Compensation Act, have superseded workers' compensation medical benefits for which plaintiffs have been previously determined eligible without advance notice and prior opportunity to be seen and heard at an evidentiary hearing.

267. The actions of the defendants were willful, wanton, and in reckless disregard of the plaintiffs' right to due process as articulated in Baksalary v. Smith.

268. As a result, defendants, acting pursuant to Section 306(f.1)(5) of the Pennsylvania Workers' Compensation Act, as amended, 77 P.S. § 531(5) (Supp. 1994), have unlawfully deprived plaintiffs and the members of the class they represent of property in violation of the Due Process Clause of the Fourteenth Amendment to the United States Constitution and 42 U.S.C. § 1983.

COUNT II:

SECTIONS 306(F.1)(5) AND (6) DO NOT PROVIDE PLAINTIFFS WITH AN OPPORTUNITY TO BE HEARD AT A MEANINGFUL TIME IN VIOLATION OF THEIR RIGHT TO PROCEDURAL DUE PROCESS OF LAW

269. Plaintiffs reallege and reincorporate by reference all allegations contained in Paragraphs 1 - 268 herein.

270. Section 306(f.1)(5) and (6) of the Pennsylvania Workers' Compensation Act establishes a system for the supersedeas of medical benefits without a mechanism for

affected plaintiffs to be heard by an impartial factfinder at a meaningful time.

271. As a result, defendants, acting pursuant to color of state law, have deprived plaintiffs and the class they represent of workers' compensation medical benefits in violation of the Due Process Clause of the Fourteenth Amendment to the United States Constitution and 42 U.S.C. § 1983.

COUNT III:

THE ASSESSMENT OF A SUBSTANTIAL FEE UPON RECONSIDERATION REVIEW WITHOUT NOTICE AND AN OPPORTUNITY TO BE HEARD VIOLATES PLAINTIFFS' RIGHT TO PROCEDURAL DUE PROCESS OF LAW

272. Plaintiffs reallege and reincorporate the allegations contained in Paragraphs 1 - 271 herein.

273. The Commonwealth defendants, by maintaining a system which assesses a fee upon a "losing party" who may or may not have initiated the reconsideration review, and who has had no opportunity to be heard as to the merits of his claim, violates Plaintiffs' right to due process of law.

COUNT IV:

THE RECONSIDERATION FEE VIOLATES PLAINTIFFS' RIGHT TO SUBSTANTIVE DUE PROCESS OF LAW

274. Plaintiffs reallege and reincorporate the allegations contained in Paragraphs 1 - 273 herein.

275. The Commonwealth defendants, by maintaining a system which assesses a fee upon a "losing party" who may or may not have initiated the reconsideration review, who has had no opportunity to be heard as to the merits of his claim, and without regard to the claimants ability to pay, is arbitrary, irrational, and not in furtherance of any legitimate governmental purpose.

276. Accordingly, Commonwealth defendants' assessment of fees against claimants deemed to be losing parties in Reconsideration Review violates plaintiffs' right to substantive due process of law.

COUNT V:

THE LACK OF REGULATIONS GOVERNING PROCEEDINGS BEFORE WORKERS' COMPENSATION JUDGES REVIEWING URO DECISIONS VIOLATES PLAINTIFFS' RIGHT TO PROCEDURAL DUE PROCESS OF LAW

277. Plaintiffs reallege and reincorporate the allegations contained in Paragraphs 1 - 276 herein.

278. The Commonwealth defendants' failure to promulgate regulations governing the proceedings to be followed by Workers' Compensation Judges in the adjudication of Petitions for Review involving utilization review issues, creates disparate hearing procedures throughout the Commonwealth, and is arbitrary, irrational, and not in furtherance of any legitimate governmental purpose.

COUNT VI:

THE DEPRIVATION OF MEDICAL BENEFITS AUTHORIZED BY SECTIONS 306(f.l)(5) AND (6) DEPRIVE PLAINTIFFS OF LIBERTY WITHOUT DUE PROCESS OF LAW

279. Plaintiffs reallege and reincorporate by reference Paragraphs 1 - 278 above.

280. Defendants, acting under color of state law, have caused plaintiffs and the class they represent to be without the medical care necessary to reduce or eliminate their disabilities, and to alleviate pain and functional restriction.

281. The actions of the defendants were wanton, willful, and in reckless disregard of the plaintiffs' right to due process as articulated in Baksalary v. Smith.

282. As a result, defendants, acting pursuant to Section 306(f.1)(5) of the Pennsylvania Workers' Compensation Act, as amended, 77 P.S. § 531(5) (Supp. 1994), have unlawfully deprived plaintiffs and the members of the class they represent of liberty in violation of the Due Process Clause of the Fourteenth Amendment to the United States Constitution and 42 U.S.C § 1983.

VIII. PRAYER FOR RELIEF

WHEREFORE, plaintiffs respectfully pray that:

1. The Court enter an order declaring that this action be maintained as a class action pursuant to Rule 23(a) and (b)(2) of the Federal Rules of Civil Procedure.

2. The Court enter a judgment pursuant to 28 U.S.C. §§ 2201 and 2202 declaring Section 306(f.1)(5) of the Pennsylvania Workers' Compensation Act, as amended, 77 P.S. § 531(5) (Supp. 1994), and statewide practices developed thereunder, unconstitutional as violative of the due process clause of the Fourteenth Amendment to the United States Constitution and 42 U.S.C. § 1983.

3. The Court preliminarily and permanently enjoin the defendants, their successors in office or interest, and their agents, employees, and all other persons acting in concert with them, from withholding workers' compensation medical benefits to plaintiffs without first affording them prior notice and an opportunity for an evidentiary hearing at a meaningful time and meaningful manner.

4. The Court order the defendants, their successors in office or interest, and their agents, employees, and all persons acting in concert with them to immediately grant and/or restore to plaintiffs' medical compensation benefits which are presently being withheld or have been withheld at any time since the passage of Act 44 without prior notice or an opportunity for evidentiary hearing.

5. The Court order the named and class defendant insurance companies and self-insured employers and their

successors in interest to pay compensatory damages to the plaintiffs and each member of the class they represent for the automatic supersedeas of their medical benefits and all pain, suffering, emotional distress, and physical consequences resulting from the unilateral cessation of those benefits.

6. The Court order the named and class defendant insurance companies and self-insured employers to pay punitive damages for their wanton, willful, and reckless violation of the plaintiffs' due process rights.

7. The Court award plaintiffs all costs and reasonable attorneys fees incurred by them in the prosecution of this action.

Respectfully Submitted,

/s/LORRIE McKINLEY
LORRIE McKINLEY
SHARON GORNSTEIN

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Counsel for Philadelphia Federation of Teachers

DATE: May 29, 1996

IN THE UNITED STATES COURT OF APPEALS
FOR THE THIRD CIRCUIT

[TITLE OMITTED IN PRINTING]

MOTION OF THE INSURER DEFENDANTS/ APPELLEES PURSUANT TO FED. R. APP. 41(B) TO STAY ISSUANCE OF MANDATE PENDING APPLICATION TO THE SUPREME COURT FOR WRIT OF CERTIORARI

[TEXT OF MOTION OMITTED IN PRINTING]

EXHIBIT A

[LOGO OMITTED IN PRINTING]

COMMONWEALTH OF PENNSYLVANIA
DEPARTMENT OF LABOR AND INDUSTRY
BUREAU OF WORKERS' COMPENSATION
1171 SOUTH CAMERON STREET; ROOM 103
HARRISBURG, PENNSYLVANIA 17104-2501
(717) 772-1914

DATE

NOTICE OF ASSIGNMENT OF UTILIZATION REVIEW REQUEST

NOTICE TO ALL PARTIES: This utilization review request has been made in accordance with the Workers' Compensation Act by the to determine the reasonableness or necessity of medical treatment provided or prescribed for the listed employe by the listed provider. It has been assigned to the Utilization Review Organization (URO) listed below:

URO: REVIEW#
NAME
ADDRESS

NOTICE TO EMPLOYE: If the determination of this Utilization Review is that your treatment under review is unreasonable or unnecessary it may result in these treatments not being paid. You can submit a written personal statement to the Utilization Review Organization shown on this Notice within 20 days of the date of this Notice regarding your view of the reasonableness and/or necessity of the disputed medical treatment. When you receive the Utilization Review determination, you can appeal the results in accordance with the instructions you receive on the Utilization Review Determination Face Sheet (LIBC-604).

EMPLOYEE: INJURY
SS#: DATE:
NAME
ADDRESS

NOTICE TO THE URO: You have five (5) days from receipt of this Notice to make a written request for records from the provider under review and all other treating providers listed on the Utilization Review request. You must complete your review and render your report within thirty (30) days of the date you receive the records or within sixty-five (65) days of the date of this Notice, whichever is earlier. If you have not received the records within thirty (30) days of the request, you may proceed with your review.

EMPLOYER:
NAME
ADDRESS

You have been assigned this case to render a determination only as to the reasonableness or necessity of the case under review. You may not give an opinion as to causation of the underlying injury or disease or the extent of the employe's disability under the Workers' Compensation Act. Also, do not render an opinion as to the reasonableness of a fee.

PROVIDER:
NAME
ADDRESS

You must return this request to the Bureau for reassignment within five (5) days of receipt of this Notice if you do not have the expertise or ability to render the review sought or if you have a conflict with rendering this review.

NOTICE TO EMPLOYER/ INSURER: You must pay the reasonable and customary charge of the URO for its services in connection with this Utilization Review. Payment must be made within thirty (30) days of the

date you receive the URO's determination.

INSURANCE
CARRIER:
NAME
ADDRESS

NOTICE TO HEALTH CARE PROVIDER: You must provide all necessary records to the URO within thirty (30) days of the date of its request. If you fail to do so, the URO may proceed with its review, resulting in a determination against your interest. You, or your agent, must verify that to the best of your knowledge, the medical records provided to the URO constitute the true and complete medical chart as it relates to the employe's work injury.

EMPLOYER/
INSURER
REPRESEN-
TATIVE:
NAME
ADDRESS

FRAUD INFORMATION: Any individual filing misleading or incomplete information knowingly and with intent to defraud is in violation of Section 1102 of the Pennsylvania Workers' Compensation Act and may also be subject to criminal and civil penalties through Pennsylvania Act 165 of 1994.

[LOGO OMITTED IN PRINTING]
COMMONWEALTH OF PENNSYLVANIA
DEPARTMENT OF LABOR AND INDUSTRY
BUREAU OF WORKERS' COMPENSATION
1171 SOUTH CAMERON STREET; ROOM 103
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EMPLOYEE REPRESENTATIVE:
NAME
ADDRESS

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